

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 24-12

20230930-DK-BUTTERFLY-1, INC., F/K/A BED BATH & BEYOND, INC.

v.

EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982) consisting of
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED,
ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., AND
EVERGREEN MARINE (SINGAPORE) PTE. LTD.,

JOINT STATUS REPORT

Pursuant to 46 C.F.R. § 502.141(h), Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc¹. (“BBBY”) and Respondents Evergreen Line Joint Service Agreement, Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Ltd., Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively, “Evergreen” or “Respondents”) (BBBY, collectively with Evergreen, the “Parties”), by their respective undersigned counsel, have conferred and submit this joint status report regarding the progress of discovery in advance of the December 16, 2024 Status Conference scheduled between the Presiding Officer and the Parties:

On December 5, 2024, the Parties held a meet and confer regarding the progress of discovery. During that meeting, the Parties agreed on (1) the proposed order regarding treatment of confidential documents and information exchanged and used in this case through the Order Granting Joint Motion for Entry of Protective Order [D.I. 29] (the “Protective Order”) and (2) the

¹ BBBY filed a change of name certificate with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023 by and through which Bed Bath & Beyond Inc. changed its corporate name to 20240930-DK-Butterfly-1, Inc.

Electronic Discovery Agreement, both of which were promptly filed.

The Presiding Officer entered the Protective Order on December 6, 2024. In the days since, the Parties are proceeding to produce their first set of documents as soon as possible and then on a rolling basis, to be discussed in greater detail at the scheduled status conference with the Presiding Officer on December 16, 2024. Based on the discussion below regarding the progress of the discovery process, the Parties agree to produce documents on a rolling basis, but do not anticipate productions will be complete before December 13, 2024, which is the current deadline for “Substantial completion of productions of documents and ESI in response to initial RFPs” in the Scheduling Order dated August 16, 2024.

Progress of Complainant regarding Discovery:

Complainant’s database of potentially responsive documents contains approximately 8.35 terabytes of data. In order to proceed to collect and produce documents, Complainant is reviewing documents based upon the use of search terms targeted to locate documents relevant to this specific litigation and the written discovery requested by Respondents, and then they may proceed to production of documents. It is Complainant’s experience that much of this data also exists as compressed electronic files which, once opened and expanded, yield a significantly higher data volume. This volume consists of approximately 6.2 million documents exclusively as it relates to emails and electronic files collected from specific custodians, with significant additional documents and data collected from Complainant’s shared document files and other sources. After this initial database has been electronically searched and narrowed, potentially responsive documents based on the Parties’ written discovery requests must be manually reviewed for responsiveness, confidentiality, and privilege before they are prepared for production, a task which takes a significant amount of time and will require that productions be made on a rolling basis. The volume of data which must be searched could grow based upon initial productions and further

discussions between the Parties.

Progress of Respondent regarding Discovery:

As to Evergreen, the initial search for potentially responsive data from likely custodians has returned approximately 5,000,000 documents, which must be electronically searched for responsive documents. Similarly to that of Complainant's data, the same required processes described above of searching and conducting manual review is required, and began in earnest earlier this fall.

Evergreen engaged dozens of attorneys to engage in document review and intends to make an initial production this week. Evergreen has also faced, however, a number of roadblocks and delays in completing its preproduction review. For example, within the first few weeks of document review, Evergreen's counsel discovered that nearly all of the LotusNotes files were missing metadata which is critical to not only Evergreen's own review but also Complainant's review under the ESI Protocol. Reprocessing of the data and recovery of the metadata took many weeks. Approximately 360,000 of such reprocessed documents contained data suggesting they might be responsive and just became available for first level review earlier this week. With dozens of attorneys reviewing these documents, Evergreen hopes to complete its first level review by the middle of February 2025. Evergreen intends to simultaneously conduct second level review of responsive documents and intends to make production to Complainant on a rolling basis as quickly as possible. It should be noted that the foregoing applies only to Evergreen's review and production of its own documents. In addition, Evergreen will be required to manually review all of the documents which will be produced by Complainant. At this juncture, without knowing how many documents will be produced, it is impossible to know how long that process will take.

The Parties acknowledge that prompt resolution of claims and disputes arising under the statutes administered by the Commission is a laudable goal, one which the deadlines for issuance

of initial and final decisions are intended to achieve, and that scheduling orders are an important part of this process. That said, it is not unusual for the deadlines for completion of discovery and/or for the issuance of initial and final decisions to be extended by presiding officers and the Commission in order to afford the Parties adequate and reasonable time to fulfill the discovery obligations necessary for the Parties to develop their claims and defenses.

There are also policy considerations which favor allowing sufficient time for a full development of the evidentiary record before an agency. *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002) (policy and responsibility of Commission and, by delegation of authority, presiding judge, to inquire into and consider all relevant facts; of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits their positions, is the need to ensure that justice is served and all relevant facts are considered by the Commission). We look forward to convening with the Presiding Officer on December 16, 2024 and to discuss the schedule for discovery and progress in greater detail, as needed.

In light of the above, the Parties are each working diligently with the goal of substantial completion of document productions on or around the present deadline for the completion of depositions in late February, 2025 per the Scheduling Order.

Depositions

The current deadline for the completion of fact depositions is February 28, 2025. The Parties anticipate that they will be completing the production of documents responsive to the initial document demands at that time. The Parties will require additional time to review the documents that have been produced to them prior to conducting depositions. The Parties will confer regarding the scope and timing for depositions and anticipate further discussion with the

Presiding Officer regarding those depositions either during the December 16, 2024 status conference or at a subsequent conference.

Dated: December 13, 2024

Respectfully submitted,

HUTH REYNOLDS LLP

BETANCOURT GRECO & EVANS LLC

/s/ Mohini P.B. Rarrick

Karl C. Huth
(212) 731-9333
huth@huthreynolds.com
Matthew J. Reynolds
(646) 872-9353
reynolds@huthreynolds.com
Gregory A. Crapanzano II
(917) 575-3440
gcrapanzano@huthreynolds.com
Mohini P.B. Rarrick
(818) 235-9753
lhill@huthreynolds.com
41 Cannon Court
Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc., f/k/a Bed Bath
& Beyond, Inc.*

/s/ Alton J. Evans

Ronald Betancourt
rbetancourt@bge-law.com
John Greco
jgreco@bge-law.com
Alton J. Evans
aevans@bge-law.com
151 Bodman Place – Suite 200
Red Bank, NJ 07701
Telephone: 732-530-4646

*Counsel for Respondents Evergreen Line et
al.*